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THREADBARE

The last six months have seen exports from Tirupur plummet

An ever-rising rupee takes its toll on the country's largest knitwear exporting hub. The government needs to fix its export policy to keep this centre of entrepreneurship alive.

BOOM

■ By Malini Bhupta in Tirupur

Senthil Kumar's garment manufacturing unit InterCraft Knits in Tamil Nadu's Tirupur district today wears a desolate look without the steady whirr of sewing machines and stacks of knitted T-shirts ready to be shipped to the US and Europe. Ironically, Kumar narrates his woes as he stands against a signage that says: 'Every customer is valuable'. Never before this day would this message have held more meaning for him, considering all his buyers have stopped sourcing from him.

The place Tirupur has carved for itself on the map of the global apparel market, with blue-chip clients like

Tommy Hilfiger, Nike, H&M, Mother Care and Sears among others, is under serious threat today as exporters grapple to combat the rising rupee. After clocking record revenues of Rs 11,000 crore in 2006-07, Kumar and other exporters of his ilk have invested almost Rs 3,000 crore in the last one year to expand capacities in anticipation that exports would grow by at least 15 to 20 per cent this year. With buyers refusing to increase prices or move to a stronger currency, the large exporters are bleeding and the smaller ones have been forced to shut shop. According to a commerce ministry estimate, the appreciation could lead to a loss of Rs 53,000 crore for exporters in 2007-08.

The currency, which went below Rs

39.50 against the dollar this January from Rs 44 in the same month last year, has taken the steam out of Indian exports. Rather than increase prices, buyers have moved on to other countries as the currencies of competing countries in the international exports market have appreciated at a much lower rate. For instance, China's yuan has appreciated by 3.6 per cent, Pakistani rupee by 0.3 per cent and Bangladeshi taka by 3.2 per cent, while the Sri Lankan rupee has depreciated by 4.6 per cent, thus making Indian textile exports dearer. Given that India lacks China's economies of scale, the margins for the no-frills garment exports are very thin.

Not surprisingly, the last six